Guide

Projects – Contractor Safety Performance Program

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1.0	2022-02-22	Ian Ross	New document
1.1	2023-04-06	Ian Ross	Update language on mandatory application / exemption process under “Scope”
1.2	2024-04-10	Ian Ross	Clarification on determining fixed amount and end date. Removed Appendices as it was no longer relevant.

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1. Purpose

The purpose of the Projects Contractor Safety Performance Program ("P-CSPP") for Core and Major Projects is to provide meaningful processes that align contractor safety and environmental performance with Enbridge's expectations via bonuses and penalties. Currently, Enbridge has an internal incentive structure shared by all employees whereby safety and environment related incidents and leading indicator safety performance drives monetary penalties and bonuses in the form of an at risk pay structure. This program will allow Projects Management to drive alignment between project teams and contractors on specific safety related goals and targets.

2. Scope

This P-CSPP applies to contractors working on Core and Major Projects work sites in Canada and the United States who accumulate over 30,000 hours throughout the term of the contract and meet a minimum contract price of 5 million dollars (US). Contractors are responsible for the application of this program to subcontractors as overall program success is also contingent on subcontractor performance. The program will be initiated with contractor mobilization to the project and will be completed at an agreed upon end date. Specific beginning and end dates will be agreed upon by the project and the contractor and defined in the contract, for example "final completion", "demobilization", "mechanical completion". As applicable, these may be reviewed on a monthly basis to ensure that any unanticipated schedule impacts are factored into the completion date.

Projects Management is accountable for the implementation and execution of the P-CSPP and as such retains ownership of this document. The specifics of the P-CSPP program (e.g., the structure of the performance measures and incentive payout) are set out in consultation with Enbridge Safety and Reliability.

The P-CSPP is considered mandatory for applicable projects as defined above. Exemptions for individual projects must be documented and approved by both the Director of Safety and the applicable Director of Projects.

3. Terms and Definitions

Term / Acronym	Definition
Environmental Event	Any activity that was not or potentially was not compliant with environmental legislation, regulation, permit, permit condition, permit anticipated outcome, and commitments made to an External Party.
Environmental Incident	An Environmental Event not in compliance with Environmental Regulations or Permits, or Internal Company Standards, or environment commitments made to an External Party if the Environmental Event results in actual impact to the environment.
Environmental Incident Frequency (EIF)	The rate per 100 full-time equivalent workers computed by (a) dividing the number of contributory environmental incidents reported by the total number of hours worked by all employees during the calendar year, and (b) multiplying the result by 200,000. The factor 200,000 represents the hours worked in a year by 100 full-time equivalent workers (working 40 hours per week, 50 weeks a year).
Fatality	For the purposes of this program, a fatality is defined as any incident that involves the loss of human life as a direct result of occupational work activities. This does not include fatalities that may occur as a result of a non-contributory motor vehicle incident, non-occupational illnesses or incidents that are considered not project related as defined in the Enterprise Safety Incident Classification Guidelines.
Incident	Any unplanned or unwanted event that results in death, injury or illness; or that results in damage or loss to property, materials or the environment.
Injury Incident	An incident that results in either a fatality, days away, modified work, medical aid, or first aid as defined by Enbridge Enterprise Incident Classification Guideline.
Peak Construction	The point in the project in which the greatest mobilization of contractor resources has occurred. It is at this time that the number of exposure hours is the greatest.

Term / Acronym	Definition
Quality Safety Observation	This is a documented process in which an observer focuses on the actions and behaviors of people doing their normal job, reinforcing safe behavior and obtaining agreement from the observed to correct at risk behavior(s)
Safety Observation Review Meeting	The details from the quality safety observation will be captured in a format agreed upon by Enbridge (e.g., Attachment C), and reviewed on a regular basis by Enbridge and contractor site management to validate the quality of the safety observations.
Supplier Evaluation Checklist	A checklist completed by Enbridge employees that measures the regular and consistent implementation of key aspects of the Contractors Safety Program
Total Injury Incident Rate (TIIR)	The sum of all contractor incidents resulting in an injury times 200,000 divided by the total number of exposure hours

4. Roles and Responsibilities

Roles / Titles	Responsibilities
Enbridge Executive Management Team	• Serve as the final approver of the program. • Review monthly updates on the status of the program. • Support the project teams as required with the implementation of the program. • Approve plan prepared by the project teams that outline how penalties will be distributed. • Ensure penalties are distributed as per the plan required by this program.
Enbridge Project Safety	• Serve as the custodian of the Contractor Safety Performance Program Guidelines. • Support the project teams with the implementation of the program. • Work with the project team to prepare monthly dashboards referenced in this document. • Support the project team and contractor with the implementation of the program. • Provide a review of incident classifications as required.
Enbridge Project Management Teams	• Implement this program with facilities and terminal contractors as directed by Projects Executive Management Team (“EMT”). • Include cost of program in project budgets. • Meet with the contractor monthly to review the dashboard and progress. • Work with the contractor to settle any disagreements with the application of the program. • Review classification of incidents to ensure they align with the Enterprise Incident Classification Criteria. • Prepare a plan that outlines how any penalties will be used.
Enbridge Supply Chain Management	• Interface with contractors to present this program and integrate it into new contracts. • Manage the relationship with contractors to ensure they feel the program is being applied fairly and accurately on the projects.
Enbridge Legal Services Department	• Review the program to ensure that it is in alignment with all legal requirements within the jurisdictions it is being applied.
Contractor	• Participate in the program. • Accurately report all incidents to the project management team. • Collect and track information as required by this program (e.g. safety observations). • On a monthly basis, review the dashboard to ensure that it is accurate and reflects the current performance on the project. • Maintain a safety observation follow-up table to be reviewed by the Enbridge project team at their discretion (minimum monthly).

	• Submit a plan outlining how any bonus funds achieved on the initial project under this program will be applied on or before the next project or spread amongst various projects. • Allocate any bonus funds per the plan required by this program.

5. Guidelines

5.1. Performance program

The Contractor safety performance program is based on both leading and lagging indicators.

Lagging indicators measured will be:

- Fatality—an incident that results in a fatality will automatically put the contractor into a full penalty position
- Total Injury Incident Rate (30%)
- Environmental Incident Frequency (20%)

Leading indicators measured will be:

- Score on Supplier Evaluation (25%)
- Percentage of Quality Safety observations Submitted (25%)

The total potential bonus tied to this program is targeted to be 1% of the original contract price. The total monetary potential bonus value in dollars will be determined mutually by the contractor and the project team and defined in advance in the contract.

5.2. Lagging Indicators

The lagging indicator portion of the incentive program makes up 50% of the total bonus or penalty value and is based on the contractors and sub-contractors combined Total Injury Incident Rate (or Incident count if less than 100,000 total exposure hours) and Environmental Incident Frequency Rate (or Environmental Incident count if less than 330,000 total exposure hours). The program will be initiated at mobilization and completed prior to demobilization. Specific beginning and end dates will be agreed upon by the project and the contractor and will be defined in the contract and reviewed monthly to ensure that any unanticipated schedule impacts are factored into the completion date.

Injury incidents will be determined by Enbridge and the contractor using the Enbridge Enterprise Incident Classification Guideline (Attachment A) which is based on OSHA definitions. EIF is calculated similar to TIIR but instead measures the rate per 100 full-time equivalent workers computed by (a) dividing the number of contributory environmental incidents reported by the total number of hours worked by all employees during the calendar year, and (b) multiplying the result by 200,000. The factor 200,000 represents the hours worked in a year by 100 full-time equivalent workers (working 40 hours per week, 50 weeks a year).

Both contractor and sub-contractor incidents will be reported immediately to the project team and will be included with hours worked that are reported on the Monthly Safety Performance Metrics Workbook. The contractor and the project team will on a monthly basis review these metrics and agree that they are factual and accurate.

5.2.1. Total Injury Incident Rate

The targets and associated bonuses or penalties will be calculated using the targets below:

Lagging Indicators – Total Injury Incident Rate (30% of bonus or penalty value defined in the contract)			
Result	Does not meet expectations (Max penalty of - 30%)	Meets expectations (0%)	Exceeds expectations (Max bonus of 30%)
Incident Count (if < 100,000 total hours)	2 or more Incidents (-30% penalty applied)	1 Incident	O Incidents (30% bonus applied)
Total Injury Incident Rate (if ≥ 100,000 total hours)	≥ 2.50	2.00 – 1.50	≤ 0.75

The following formula will be used to calculate the bonus for TIIR results that are <1.50 but ≥ 0.75. For TIIR results <0.75 the maximum lagging indicator bonus is maximized. The bonus is capped at 30%.

- *% Bonus = (-40.00 x TIIR) + 60*

  Example: *if TIIR= 1.13 then (-40.00 x 1.13) + 60 = 14.8; so, Bonus is 14.8%.*

The following formula will be used to calculate penalties for TIIR results that are >2.00. The penalty is capped at 30%

- *% Penalty = (-60 x TIIR) + 120*

  Example: *if TIIR= 2.15 then (-60 x 2.15) + 120 = -9.0; so, Penalty is 9.0%.*

5.2.2. Environment

Lagging Indicators—Environmental Incident Frequency (20% of bonus or penalty value defined in the Work Release Contract)			
Result	Does not meet expectations (Max penalty of - 20%)	Meets expectations (0%)	Exceeds expectations (Max bonus of 20%)
Environmental Incident Count (if < 330,000 total hours)	2 or more Incidents (-20% penalty applied)	1 Incident	O Incidents (20% bonus applied)
Environment Incident Frequency (if ≥ 330,000 total hours)	≥ 0.66	0.61 - 0.59	≤ 0.39

The following formula will be used to calculate the bonus for EIF results that are <0.39 but >0.59. For EIF results ≤0.39 the maximum lagging indicator bonus is maximized. The bonus is capped at 20%.

- *% Bonus = (0.59 – EIF) x 100*

  Example: *if EIF = 0.49 then (0.59 – 0.49) x 100 = 10; so, Bonus is 10%.*

The following formula will be used to calculate penalties for EIF results that are > 0.61. The penalty is capped at 20%

- *% Penalty = (0.61 - EIF) x 400*

Example: *if EIF = 0.63 then (0.61 – 0.63) x 400 = -8.0; so, Penalty is 8.0%.*

5.2.3. Fatality

If at any point during the agreed upon duration of the program the contractor or any of their sub-contractors experience a project related occupationally caused Fatality, the full lagging indicator penalty (50%) will be applied.

5.2.4. Life Saving Rules

Life Saving Rules are an important component of the Enbridge Safety Management System. If at any time during the active portion of the program Enbridge becomes aware that Lifesaving Rule #6 Reporting of Safety Related Incidents is violated and confirmed by the Lifesaving Rule Committee, the full 50% penalty shall be applied.

5.3. Leading Indicators

The leading indicator portion of the incentive program makes up 50% of the total bonus or penalty value and is based on metrics related to safety observations and scores on a safety management system audit.

5.3.1. Safety Observations:

The effectiveness of the safety observation program will be measured by the number of quality observations submitted and will comprise 25% of the incentive program.

Safety observations are a way for employees to observe and talk with coworkers about safety and risk in a purposeful, positive, and meaningful way. To ensure that the contractor's safety observation program is functioning at an acceptable capacity, the contractor will be required to submit a minimum of 60 quality safety observations for every 10,000 hours worked. The program measure will be focused on the number of quality safety observations over the course of the program. A safety observation review meeting will be held on a regular basis to review and validate their quality.

Leading Indicators—Safety Observations (25% of bonus / penalty value defined in the contract)			
Result	Does not meet expectations (Max penalty of -25%)	Meets expectations (0%)	Exceeds expectations (Max bonus of 25%)
# of Quality Safety Observations per 10,000 hrs	0	30-60	≥120

The intent of this metric is to drive consistent participation in the safety observation program. Ideally, the contractor will achieve or exceed the minimum requirement EVERY week and so weekly totals must be submitted. However, given exposure hours are typically collected and reported monthly, Safety Observation scoring on a per 10,000-hour basis need only be calculated on a monthly basis for review meeting purposes. Final bonus / penalty value will be calculated based on total Safety Observation count and total exposure hours.

The following formula will be used to calculate the bonus if the number of quality safety observations submitted is over 60 per 10,000 hours. The bonus is capped at 25%.

- % Bonus = (# of Quality Safety Observations – 60) / 2.4

  Example: *If the # of Quality Safety Observations per 10,000 hours is 90 then the bonus = (90 – 60) / 2.4 = 12.5 so the Bonus is 12.5%.*

The following formula will be used to calculate penalties for the number of quality safety observations identified <30. The penalty is capped at 25%.

- % Penalty = (# Quality Safety Observations - 30) / 1.2

  Example: *If the # of Quality Safety Observations per 10,000 hours is 10 then the penalty = (10 – 30) / 1.2 = -16.67; so, the penalty is 16.67%.*

5.3.2. Supplier Evaluation Checklist

The contractor will be regularly evaluated by Enbridge Project Management Team members using a Supply Chain Management Supplier Evaluation Checklist (not less than weekly). The metric here will be based on the average supplier evaluation score for the seven questions that make up the “Environment / Health / Safety Management” section of the checklist. Scoring for each of these seven questions is on a four-point scale:

- 1 – Did not meet expectations
- 2 – Partially met expectations
- 3 – Met expectations
- 4 – Exceeded expectations

This will comprise 25% of the overall incentive program.

Leading Indicators—Supplier Evaluation (25% of bonus or penalty value defined in the contract)			
Result	Does not meet expectations (Max penalty of -25%)	Meets expectations (0%)	Exceeds expectations (Max bonus of 25%)
Supplier Evaluation Score (average of EHS section scores)	≤2.0	3.0	≥3.5

The following formula will be used to calculate the bonus if the score is over 3.0. The bonus is capped at 25%.

- % Bonus = (Supplier Evaluation Score – 3.0) x 50

  Example: *If the Supplier Evaluation Score is 3.2, the bonus = (3.2 – 3.1) x 50 = 5 so, the Bonus is 5%.*

The following formula will be used to calculate penalties if the score is less than 3.0. The penalty is capped at 25%.

- % Penalty = (Supplier Evaluation Score – 3.0) x 25

Example: *If the Supplier Evaluation Score is 2.6 then the penalty = (2.6 – 3.0) x 25 = -10; so, the penalty is 10%.*

5.4. Allocations of bonus or penalty

At the beginning of the program, the contractor shall submit a plan outlining how they will allocate 50% of any bonus they may receive for positive safety performance throughout the project. This plan must meet the guiding principles below. The Enbridge project team will also submit a plan outlining how 100% of any penalties will be allocated.

As identified above, any penalties or bonuses will be used to promote the development of a strong safety culture within the contractor's organization or support broader safety initiatives within the industry or communities near the work sites.

The contractors plan will focus on allocating dollars to improve the safety of worksites. This can include but is not limited to development of training programs for employees, equipment upgrades (e.g., load indicators, back up cameras, etc.), or targeted safety programs. The Enbridge plan will focus on items such as donations to community emergency response departments, public safety initiatives, or the CEPA Foundation for targeted safety initiatives.

5.5. Reporting

Dashboards will be prepared monthly by Enbridge outlining the current level of safety and environmental performance relative to the bonus or penalty measures. The dashboard will be reviewed and approved by the contractor and Enbridge monthly.

6. Dispute Resolution Process

All disputes involving this incentive program will be addressed under the dispute resolution process provision the contract.

7. Related Documents

N/A

8. Reference Documents

- Enterprise Guideline for Reporting of Occupational Safety and MVI Data: May 2021
- 3rd Party Supplier Evaluation
- Environmental Event Classification Guide